

BlackRock Inc.

NYSE: BLK

\$722.98**Ford Equity Research**

A Mergent Company

RATING

1 2 3 4 5

Downgrade 2/12/21

We project that BlackRock will outperform the market over the next 6 to 12 months. This projection is based on our analysis of three key factors that influence common stock performance: earnings strength, relative valuation, and recent price movement.

Previous Rating

1 2 3 4 5

(1/16/21 - 2/12/21)

52-Week Price Range

\$327.42 - \$779.75

Market Capitalization

\$110.25 Billions

Annual Dividend Yield

2.3%

Annual Dividend Rate

\$16.52

Industry

Fund Management

Earnings Strength**POSITIVE**

EPS increased from \$28.50 to an estimated \$35.06 over the past 5 quarters indicating an improving growth rate. Analyst forecasts have recently been raised. Company recently reported better than expected results.

Relative Valuation**POSITIVE**

Operating Earnings Yield of 4.8% ranks above 69% of the companies covered by Ford.

Price Movement**VERY POSITIVE**1-year price up 26.3%: **POSITIVE**1-quarter up 9.6%: **POSITIVE**1-month down 7.0%: **VERY POSITIVE**

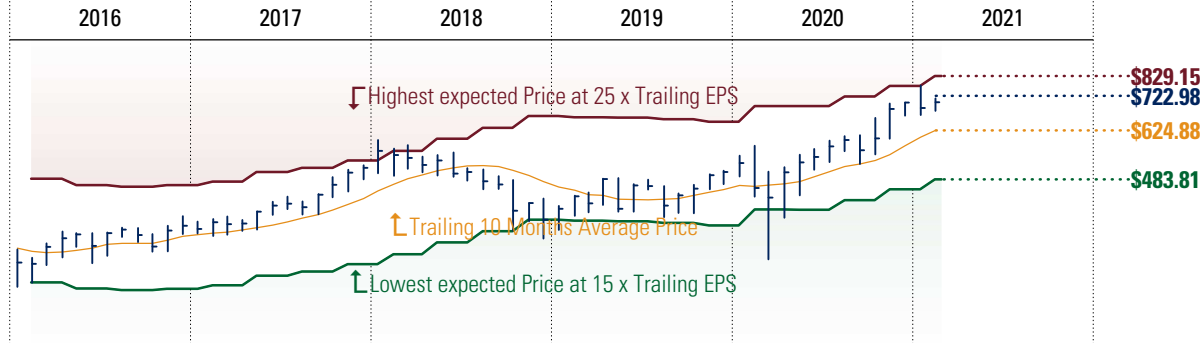
BlackRock is an investment management firm. The company provides a range of investment and technology services to institutional and retail clients worldwide. Products are provided directly and through intermediaries in a variety of vehicles, including open-end and closed-end mutual funds, iShares® exchange-traded funds, separate accounts, collective investment trusts and other pooled investment vehicles. The company also provides technology services, including the investment and risk management technology platform, Aladdin®, Aladdin Wealth, eFront, Cachematrix and FutureAdvisor, as well as advisory services and solutions to a base of institutional and wealth management clients.

Fund Management performance is POSITIVE**Peer Group Comparison**

Ticker	Company Name	Overall Rating	Quality Rating	Recent Price	Market Cap(B)	EPS (ttm)	P/E (mrq)	P/B (ttm)	1 year Price Change
BLK	BlackRock Inc.	1 2 3 4 5	Good	\$722.98	\$110.254	\$33.34	21.69	3.16	26.30
AMP	Ameriprise Financial Inc.	1 2 3 4 5	Good	\$218.08	\$25.733	\$13.05	16.71	4.01	22.10
BAM	Brookfield Asset Mana..	1 2 3 4 5	Good	\$42.95	\$64.953	\$0.33	130.15	2.25	-0.30
BEN	Franklin Resources Inc.	1 2 3 4 5	Good	\$27.62	\$13.959	\$1.83	15.09	1.33	12.20

BLK Price Performance**Ford Valuation Bands**

Valuation bands based on the highest and lowest P/E ratio in the past five years applied to the trailing 12 month operating earnings. Price (US\$)

**Fiscal Year End - DEC**

2016 2017 2018 2019 2020

Net Profit on Sales

27.9%

28.9%

29.9%

30.3%

31.4%

Cash Flow/share

\$21.25

\$32.80

\$28.70

\$31.94

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Book Value/share

\$180.13

\$198.88

\$205.50

\$217.25

\$226.04

Return on Equity

10.7%

11.4%

13.1%

13.1%

14.7%

Debt to Equity

17.0%

16.0%

15.0%

15.0%

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Recommendation Summary

Ford's Buy recommendation on BlackRock Inc. is the result of our systematic analysis on three basic characteristics: earnings strength, relative valuation, and recent stock price movement. The company has produced a positive trend in earnings per share over the past 5 quarters. However, while recent estimates for the company have been mixed, BLK has posted better than expected results. Based on operating earnings yield, the company is undervalued when compared to all of the companies we cover. Share price changes over the past year indicates that BLK will perform very well over the near term.

Earnings Strength is POSITIVE

Ford's earnings momentum measures the acceleration or deceleration in trailing 12 month operating earnings per share growth. The upward curvature of the plotted points in the graph on the right indicates that while **BlackRock Inc.'s earnings have increased from \$28.50 to an estimated \$35.06 over the past 5 quarters, they have shown acceleration in quarterly growth rates** when adjusted for the volatility of earnings. This indicates an improvement in future earnings growth may occur.

Nearly 40 years of research have shown that the change in the growth of earnings per share is an important factor that drives stock price performance. Ford measures earnings momentum and analysts' forecast changes to get an early indication of changing earnings patterns.

Recent changes to analysts' forecasts and variances between reported and estimated earnings provide important information about a company's future earnings performance. Ford uses this information, in conjunction with earnings momentum, as early evidence of a catalyst to near-term stock price performance. Earnings forecasts for BlackRock Inc. have been showing conflicting results between FY1 and FY2 estimates which gives us a mixed picture of future earnings growth. The company has also reported higher earnings than those predicted in earlier estimates. This indicates an ability to exceed analysts' expectations and the potential for improving earnings growth in the future.

Relative Valuation is POSITIVE

BlackRock Inc.'s operating earnings yield of 4.8% ranks above 69% of the other companies in the Ford universe of stocks, indicating that it is undervalued. Ford measures the relative valuation of each company against all other companies in our research universe. Operating earnings yield, an earnings-to-price ratio based on the last 3 quarters of operating earnings and the current quarter's estimate, has proven to be the most reliable relative valuation measure. A stock may stay undervalued or overvalued for a long period of time. For this reason, it is important to combine this factor with shorter-term predictive factors such as earnings momentum or price momentum to identify more imminent valuation adjustments.

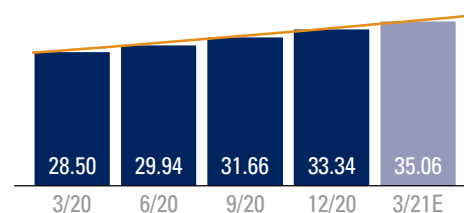
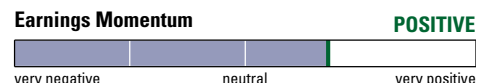
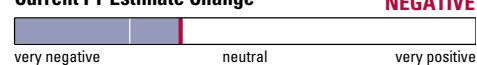
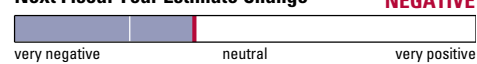
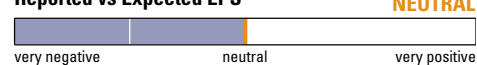
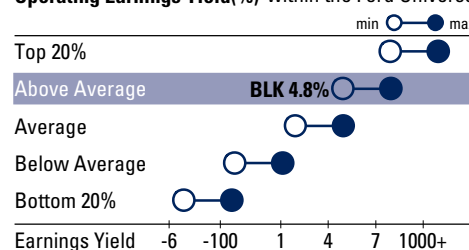
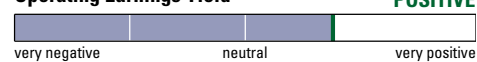
Price Movement is VERY POSITIVE

BlackRock Inc.'s stock price is up 26.3% in the last 12 months, up 9.6% in the past quarter and down 7.0% in the past month. This historical performance should lead to above average price performance in the next one to three months.

Historical price action of a company's stock is an especially helpful measure used to identify intermediate and short term performance potential. Long term historical performance is a good predictor of future price performance, but much more importantly, large price movements over the intermediate and short term tend to reverse themselves. Ford's price momentum measure integrates historical long, intermediate and short term price changes, creating ratings that are highest for stocks with strong twelve month price performance that have had a price consolidation in the past quarter and month.

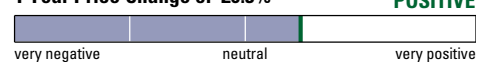
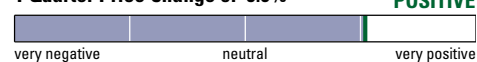
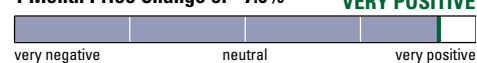
TTM Operating EPS in US (\$)

Positive earnings trend over past 5 quarters

**Earnings Momentum****Current FY Estimate Change****Next Fiscal Year Estimate Change****Reported vs Expected EPS****Operating Earnings Yield(%) within the Ford Universe****Operating Earnings Yield****Stock Price is up 26.3% in the past year**

02/20

2021

1 Year Price Change of 26.3%**1 Quarter Price Change of 9.6%****1 Month Price Change of -7.0%**

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Ford Stock Ratings: Ford covers approximately 4,000 stocks using a proprietary quantitative model that evaluates a company's earnings strength, its relative valuation and recent price movement. Ford's five recommendation ratings include strong buy, buy, hold, sell, strong sell. For all stocks in our coverage universe, ratings are generated each week and reflect the fundamental and price data as of the last trading day of the week.

Ford Stock Rating	Percentage of Universe With Rating	12-month Relative Return Forecast
1 2 3 4 5	8.7%	Significantly above average
1 2 3 4 5	16.6%	Above average
1 2 3 4 5	57.8%	Average
1 2 3 4 5	11.9%	Below average
1 2 3 4 5	5.0%	Significantly below average

Earnings Strength: Earnings strength is a weighted combination of factors that measure a company's earnings growth performance. These include Ford's proprietary Earnings Momentum model, changes in analysts' estimates for the current and next fiscal year, and earnings surprises as compared to estimates. Combined score ratings and percentiles are as follows: Very Positive – top 20%, Positive – next highest 20%, Neutral – middle 20%, Negative – second lowest 20%, Very Negative – lowest 20%.

Relative Valuation: The coverage universe is sorted in descending order based on Ford's operating earnings yield measure. Operating earnings yield is the ratio of 12-month operating earnings per share (including the current quarter estimated EPS) to closing share price on the report date. Relative valuation ratings and percentiles are as follows: Very Positive – top 20%, Positive – next highest 20%, Neutral – middle 20%, Negative – second lowest 20%, Very Negative – lowest 20%.

Price Movement: Price movement is a proprietary evaluation based on a company's relative share price change in the past 1-year, 1-quarter and 1-month period. In the Ford analysis, positive price changes in the past 1-year period are a favorable indication of nearterm price gain. Conversely, positive price changes in the past quarter or month periods can indicate a short-term overbought condition resulting in negative near-term price change. Price movement score ratings and percentiles are as follows: Very Positive – top 20%, Positive – next highest 20%, Neutral – middle 20%, Negative – second lowest 20%, Very Negative – lowest 20%.

Industry Performance: Ford measures the relative performance of the 88 industry groups that we cover. The top 20% of industries based on our metric are expected to have above average near-term performance and are classified as Positive. The bottom 20% based on the same metric are expected to have below average near-term performance and are classified as Negative. The remaining middle 60% of industries are expected to have average performance and are classified as Neutral.

Operating Earnings per Share: Earnings per share figures in the Ford Valuation Bands, quarterly earnings series and 5-quarter earnings trend plot reflect Ford's operating earnings per share. Operating earnings per share are earnings per share from continuing operations and before accounting changes that have been adjusted to eliminate non-recurring and unusual items. In this way, earnings trend and valuation measurements are not affected by one-time and non-operational items that can skew earnings results.

Peer Group: Ford classifies each company in our coverage universe into one of 232 peer group categories based on industry group, products or services offered, annual sales level and market capitalization. Peer groups, which are made up of between 3 and 8 companies, are a useful point of industry reference and a source for alternative ideas within an industry.

Quality Rating: Quality Rating is based on factors that indicate a company's overall financial strength and earnings predictability. Each company in the Ford database is assigned a quality rating ranging from A+ to C- based on size, debt level, earnings history and industry stability. High quality stocks tend to have higher average market capitalizations and annual sales, as well as lower average levels of debt as a percent of equity and lower earnings variability. High quality stocks also tend to have lower standard deviations of annual returns. Accordingly, a firm's quality rating may be used to gauge the risk associated with a particular stock. The Quality Rating letter grades are translated into the following categories: A- and higher are High Quality; B and B+ are Good Quality; B- is Average Quality; C+ is Low Quality; C and lower are Very Poor Quality.

Valuation Band: The Ford Valuation Band chart shows the price performance of the stock over the past 5 year period in relation to its historical price/earnings valuation range. The red and green lines indicate the highest and lowest P/E, respectively, in the past 5 years multiplied by trailing 12-month operating earnings per share at the plotted point. The end point prices shows the current share price (in black) along with the potential high price based on the highest realized P/E in the past 5 years (in red), potential low price based on lowest realized P/E in the past 5 years (in green), and trailing 10-month average price (in yellow).

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